Income Inequality

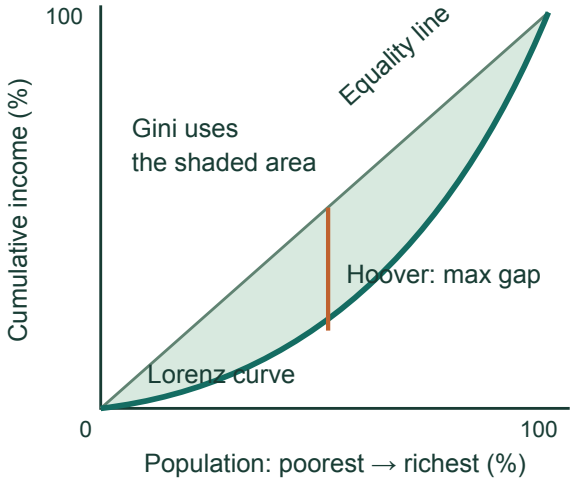
1. Meaning and causes

- **Inequality:** uneven distribution of income, wealth, resources, services and opportunities. **Income = flow** over a period; **wealth = stock** of assets net of liabilities at a point in time.
- Income inequality concerns **relative shares**, whereas absolute poverty concerns meeting a minimum standard. Poverty can fall while inequality rises; higher average income does not establish equal distribution.
- Causes: **asset concentration**; unequal access to education, skills, health and finance; urban bias in investment; unequal regional infrastructure; discrimination and gender barriers; informality; capital-intensive production that fails to create sufficient productive jobs.
- High prices can hurt households differently depending on their consumption baskets and income adjustment. Inflation does **not automatically** increase every measure of inequality.

2. Measure inequality: Lorenz, Gini and Hoover

Measure	What to remember	Interpretation
Lorenz curve	X: cumulative population, poorest to richest; Y: cumulative income/wealth share	45-degree line = equality; a curve farther below it generally indicates more inequality
Gini coefficient	Area between equality line and Lorenz curve / total area below equality line	**0 = equality; 1 = limiting complete inequality**; also reported on a 0-100 scale
Hoover / Robin Hood / Schutz index	Largest vertical gap between equality line and Lorenz curve	Share of total income that would need redistribution to achieve equal shares

Lorenz curve: two different measures



Gini = shaded area / area under equality line

Gini uses an area ratio; Hoover uses the largest vertical gap.

- Gini named after **Corrado Gini (1912)**. With shares on a 0-1 scale: **G = 1 - 2 × area under Lorenz curve**.
- Example: Gini **0.29** → **0.36** means greater measured inequality on a comparable series. It does not tell us whether poor people's absolute incomes fell.
- **Hoover = ½ Σ |income share of group - population share of group|**. It is a **maximum gap**, not the shaded area used for Gini.
- If the Lorenz curve coincides with the equality line, **Gini = Hoover = 0**. If two Lorenz curves cross, a simple dominance ranking is unavailable; one summary statistic may hide different distributions.
- Always compare the **same variable, population, method and period**: consumption Gini, income Gini and wealth Gini are different. Household surveys can miss the very rich; tax and national-account estimates also need assumptions.

3. India's inequality: keep dates and measures separate

Indicator	Dated figure	Recall cue
Top 1% income share	**22.6%, 2022-23**, World Inequality Lab study	Income concentration
Top 1% wealth share	**40.1%, 2022-23**, same study	Wealth is more concentrated
Top 10% / bottom 50% wealth	**77% / 4.1%**, undated figures quoted by book	Source/year unspecified; not WIR 2026
Rural / urban monthly per-capita consumption	**₹3,773 / ₹6,459**, HCES 2022-23, without imputation	Consumption gap, not an income ratio
Men's / women's labour-income shares	**82% / 18%**, WIR 2022 figures quoted by book	Aggregate shares, not an equal-work wage-gap estimate

- **Diet affordability ≠ hunger incidence.** SOFI 2023's historical estimate: about **74% in India** could not afford a healthy diet; about **39% globally**. The book's suggestion that the second figure refers to India is misleading. Both relate to **2021 estimates**, not current rates. FAO SOFI 2023
- **1922-2023 study:** inequality fell after independence until the early 1980s, then rose, accelerating after the early 2000s. Data span differs: income series back to **1922**, wealth to **1961**. Estimated real average income growth: **1.6% annually, 1960-90; 3.6%, 1990-2022**; fastest subperiods **2005-10: 4.3%; 2010-15: 4.9%**. Income-tax filers rose from under **1% of adults** up to the 1990s to around **5%**, then **9%** in the recent period. Billionaires rose from **1 in 1991** → **52 in 2011** → **162 in 2022**. Top 1% wealth share: **13% in 1961** → **about 39% in 2023**. Estimates depend on coverage and reconstruction. World Inequality Lab working paper
- The book's cross-country chart gives **top 1% / top 10% wealth shares**, historical comparison: UK **21.1 / 57.0**; France **24.0 / 57.7**; China **32.6 / 68.8**; India **40.1 / 65.0**; US **34.9 / 70.7**; Brazil **48.7 / 79.7**; South Africa **54.6 / 85.6**. Its common reference year is unspecified; use the pattern, not a current ranking. India's chart shares and the older **77%** figure are from different series/editions.

4. World Inequality Report 2026

- Produced by the **World Inequality Lab**, using the World Inequality Database. Distributional estimates combine multiple sources; they are not simply India's consumption-survey results.

Group in India	Income share	Wealth share
Bottom 50%	**15.0%**	**6.4%**
Middle 40%	**27.3%**	**28.6%**
Top 10%	**57.7%**	**65.0%**
Top 1%	**22.6%**	**40.1%**

- **Top 1% is included within top 10%**: do not add the two shares. The report's country table uses **2024** for this distribution snapshot. WIR 2026 country tables
- Global picture highlighted in the book: top 10% receive **over half of income**, bottom half **under 10%**; top 10% own about **three-quarters of wealth**, bottom half about **2%**; top **0.001%** own more wealth than the bottom half combined.
- Climate inequality: top 10% associated with around **77% of private capital ownership emissions**, bottom half about **3%**. This is **not the same accounting as household consumption emissions**. WIR emissions accounting
- Women receive about **28% of global labour income**; roughly **16% in Middle East/North Africa**, around **40% in Europe/North America**. Rich regions' average incomes are around **13 times** those of sub-Saharan Africa in the cited comparison. International finance can favour low-cost borrowing by rich economies while developing economies face higher financing costs. WIR 2026

5. Reduce inequality: three linked routes



Combine taxation, services and productive work.

- **Progressive taxation:** improve effective taxation of high incomes, capital and wealth; close evasion and avoidance channels. A billionaire wealth levy is a **policy proposal**, not an enacted Indian tax. Consider valuation, enforcement, capital mobility and revenue use.

- **Public services and social protection:** education, healthcare, nutrition, infrastructure and income security improve capabilities and reduce unequal starting conditions. Spending quality and access matter as much as totals.
- **Productive jobs:** help workers move from low-productivity agriculture to manufacturing and services; expand labour-intensive industries, MSMEs, skills, credit, women's employment and regional opportunities. Sectoral movement alone is insufficient if new jobs remain precarious.
- **Mains sequence:** distinguish poverty/income/wealth → identify asset and opportunity gaps → give a dated indicator → combine better jobs, services and fair taxation → evaluate inclusion and implementation.
- **Recall:** Lorenz = distribution curve; Gini = area ratio; Hoover = maximum gap; income ≠ wealth ≠ consumption; top 1% is a subset of top 10%.